BOC GASES
A Member of The Linde Group

UNAUDITED GROUP RESULTS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

The Directors of BOC Kenya Plc hereby announce the unaudited Group results for the six-month period ended 30 June 2019

Summarised consolidated income statement for the six-month period ended 30 June 2019

	2019 KShs '000	2018 KShs '000
Revenue	495,166	487,130
Earnings before finance income and taxes	**17,668**	**43,044**
Net finance income	21,568	33,355
Exchange (Losses)/Gains	(5,653)	7,961
Profit before tax	33,583	84,360
Income tax expense	(14,559)	(27,059)
Profit for the year	**19,024**	**57,301**
Basic earnings per share	0.97	2.93
Dividend for the period		
Interim declared	**Kshs 2.35**	**Kshs 2.35**

Summarised consolidated statement of cash flows for the six-month period ended 30 June 2019

	2019 Kshs'000	2018 Kshs'000
Cash (used by)/generated from operations	**(40,790)**	**44,523**
Tax paid	(220)	1,496
Net cash from operating activities	**(41,010)**	**46,019**
Cash used in investing activities	(18,248)	(37,965)
Interest received	21,568	40,586
Decrease/(Increase) in cash and cash equivalents	**(37,690)**	**48,640**
At beginning of the period	20,334	73,389
Net (decrease)/increase	(37,690)	48,640
Effect of exchange rates	157	(3,767)
At the end of the period	**17,199**	**118,262**

Summarised consolidated statement of financial position as at 30 June 2019

	2019 KShs '000	2018 KShs '000
ASSETS		
Non-current assets	944,992	978,505
Current assets	1,227,747	1,308,212
Total assets	**2,172,739**	**2,286,717**
EQUITY AND LIABILITIES		
Share capital	97,627	97,627
Retained earnings	1,338,139	1,404,640
Capital and other reserves	104,554	143,318
Total equity	**1,540,320**	**1,645,585**
Non-current liabilities	-	243
Current liabilities	632,419	640,889
Total liabilities	**632,419**	641,132
Total equity and liabilities	**2,172,739**	**2,286,717**

Summarised consolidated statement of changes in equity for the six-month period ended 30 June 2019

	2019 Kshs'000	2018 Kshs'000
At 1 January	**1,519,496**	**1,611,082**
Net profit for the period	19,024	57,301
Change in available for sale financial assets	-	(15,593)
Translation differences	1,800	(7,205)
At 30 June	**1,540,320**	**1,645,585**

Overview:
Revenue for the six-month period ended 30 June 2019 was up 1.6% compared to the same period of 2018. However, profit after tax for the period declined significantly primarily due to a short-term outage of a key raw material and unscheduled plant down-time that impacted availability and cost of finished goods. The results were also impacted by reduced supply to some public sector customers due to long overdue debts and lost sales as a result of the illegal filling of the Company's cylinders.

The financial statements have been prepared based on the same accounting policies as the previous audited accounts.

Outlook:
The Board of Directors anticipates improved results in the second half of the year. Plant availability has been fully restored, with a commensurate positive impact on production costs. Supply of the key unavailable raw material has been resolved and steps taken to mitigate against recurrence. In addition, the long-standing problem of illegally filled cylinders is being managed with the assistance of regulatory authorities.

The Board is also continuing with measures to safeguard shareholder value by ensuring the Company operations reflect a high level of efficiency and productivity.

Dividend:
The Board of directors has declared an interim dividend of KShs 2.35 per share for the six-month period ended 30 June 2019 (2018, KShs. 2.35), to be paid out on or about 15 October 2019 to shareholders on the register at close of business on 27 September 2019.

BY ORDER OF THE BOARD

RUTH NGOBI
COMPANY SECRETARY
BOC KENYA PLC

29 August 2019